CHIEF INVESTMENT OFFICE

Capital Market Outlook

July 6, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Kevin Warsh and the End of Global Capital Abundance:* Federal Reserve (Fed) Chairman Kevin Warsh inherits a significantly different world from his predecessors. The days when 1) globalization expanded the global supply of labor, 2) multinationals seamlessly stretched and leveraged supply chains around the world, 3) geopolitical tensions were in remission, resulting in a peace dividend, and 4) global capital flowed freely across borders—those days are gone. What's more, Warsh takes the monetary helm at a time when demand for global capital has rarely been stronger. From governments running massive structural budget deficits to hyperscalers requiring more capital to build out data centers to U.S. households now holding over $1.2 trillion in credit card debt—borrowing at all levels has rarely been stronger. Everyone wants more capital. Against this backdrop, global real interest rates could remain structurally higher, capital discipline will be key among corporates, profligate nations will be disciplined with higher premiums, and nations with the strongest economics will likely outperform their peers—think the U.S.

Market View—*The Road to 2027: Five Questions (and Answers) for the Second Half:* A war in the Middle East, an energy shock via the closure of the Strait of Hormuz, renewed tariff threats, concerns about Private Credit—the first half of 2026 packed a decade's worth of events into six months. The second half is set to be just as eventful with midterm elections, a new Fed chairman, and an Artificial Intelligence (AI) revolution that evolves by the day. This week we examine five key questions that we believe will dominate the investment landscape for the balance of the year: (1) *Is the rotation here to stay?* (Yes, in our view.); (2) *Are we at peak capital expenditures (capex)?* (Unlikely.); (3) *Have we seen the worst of inflation?* (We think yes, though the path of expectations remains key to watch.); (4) *What do shifting global central bank expectations mean for investors?* (It depends.); and finally, (5) *How will midterm elections impact markets?* (A correction preelection wouldn't be out of the ordinary.) Let the 24 fresh all-time highs for the S&P 500 in the first half of this year be a friendly reminder that even in the midst of uncertainty, equity markets tend to look forward to what matters—future profits, which continue to be revised higher.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is the largest concern that could unravel your bullish narrative?

AUTHORS

Joseph P. Quinlan
Managing Director and Head of CIO Market Strategy

Ariana Chiu
Assistant Vice President and Investment Strategist

Christopher Hyzy
Chief Investment Officer

MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

Kevin Warsh and the End of Global Capital Abundance

***Joseph P. Quinlan**, Managing Director and Head of CIO Market Strategy*

For much of the past quarter century, the global economy has enjoyed a remarkable luxury: An abundant, cheap, and seemingly limitless pool of capital. In this world, as surplus capital poured out of China, Germany, Japan and oil-producing nations, global interest rates drifted steadily lower, and the world's largest debtor nation—the U.S.—lived beyond its means.

In 2005, former Fed Chair Ben Bernanke characterized this abundance as a "global savings glut"—and used this intellectual rubric to explain why U.S. long-term bond yields could remain low despite strong economic growth, expanding deficits (federal and current account) and a Fed in interest rate-hiking mode (between June 2004 and June 2006, the Fed raised the fed funds rate from 1% to 5.25% with nary any impact on longer-term yields).

Flush with capital, governments accumulated debt without experiencing meaningful increases in borrowing costs. Corporations borrowed at negligible rates. Households gained access to cheap capital. And asset prices rose in an increasingly capital-rich environment.

In addition, just as excess savings helped suppress global interest rates, excess production from Japan, Germany and, notably, China helped suppress goods inflation. China's integration into the global trading system allowed U.S. consumers access to cheaper electronics, clothing, and other products. Businesses benefited from lower production costs and more efficient global supply chains. Wage pressures remained contained, and inflation in the U.S. and other parts of the world repeatedly surprised to the downside. This backdrop could not have been more propitious for central bankers around the world.

From the Savings Glut to the Age of Competing Capital Claims. Fed Chairman Kevin Warsh inherits a significantly different world from his predecessors. The days when 1) globalization expanded the global supply of labor, 2) multinationals seamlessly stretched and leveraged supply chains around the world, 3) geopolitical tensions were in remission, resulting in a peace dividend, and 4) global capital flowed freely across borders—those days are gone.

Growth in the global labor market has peaked, notably in China. Global supply chains are being duplicated rather than optimized. The peace dividend has gone up in smoke with Russia's invasion of Ukraine and the Great Power Rivalry between the U.S. and China. Economic efficiency increasingly takes a backseat to national security interests. The Commanding Heights has shifted from the private sector to the public sector. Deglobalization means more restrictions on cross-border flows of goods, services, people and capital. Adding it all up, Kevin Warsh's world looks a whole lot different from Ben Bernanke's (Exhibit 1).

What's more, Warsh takes the monetary helm at a time when demand for global capital has rarely been stronger. From governments running massive structural budget deficits to hyperscalers requiring more capital to build out data centers to U.S. households now holding over $1.2 trillion in credit card debt—borrowing at all levels has rarely been stronger. Everyone wants more capital.

Governments want more capital to finance deficits and interest costs and support ageing populations. Militaries want more capital to fight wars and rebuild defense capabilities after decades of underinvestment. Technology firms want more capital to build out AI infrastructure. Utilities want more capital to modernize electrical grids. Manufacturers want more capital to reshore supply chains. Private equity wants more capital to take firms public. Households want governments to maintain and expand social safety nets.

Investment Summary

The global financial landscape is in flux, with significant implications for prices across various asset classes.

Exhibit 1: A World of Difference: Ben vs. Kevin

Bernanke Era (2000-2020)	Warsh Era (2026-2035?)
Excess savings	Excess capital demand
Globalization	Deglobalization
Peace dividend	Defense build-up
Falling inflation	Stickier inflation
Falling real rates	Higher real rates
Supply-chain optimization	Supply-chain redundancy
Capital abundance	Capital competition
"Why are rates so low?"	"Who gets the capital?"

Source: Chief Investment Office. As of July 1, 2026.

Capital, capital, capital—everyone wants capital. The good news is that the world isn't running out of savings. According to the International Monetary Fund (IMF), gross global savings currently hovers around 27% of gross domestic product (GDP), a figure that has held steady over this century. So, the issue is not the supply of capital. Rather, the challenge is how to satisfy (and at what cost) the unprecedented demand for capital. The global pool of savings remains large (roughly $30 trillion based on figures from the IMF), but the claims on those savings are growing even faster.

Against this backdrop, Kevin Warsh confronts a global financial landscape that is being significantly transformed—the world is moving from an era defined by excess savings/capital toward one increasingly characterized by competing demands for capital.

Where the defining economic question of Ben Bernanke's era was, "why is capital so abundant?" the defining question of Kevin Warsh's era may be, "who gets the capital and at what cost?" The answer is crucial in that capital allocation determines economic outcomes and market returns across various asset classes and across various nations.

During the age of abundance, capital was sufficiently plentiful so that many competing priorities could be financed simultaneously. In the world of competing capital claims, however, the calculus is different. The choices will become more difficult. The trade-offs are more visible and volatile. The opportunity costs are more important.

Investment implications. The era of competing capital demands carries significant implications for the financial markets.

First, excess capital demands could keep global real interest rates structurally higher than in the previous two decades. If demand for capital consistently exceeds the growth of available supply, the price of capital should rise.

Second, in a more capital-constrained environment, efficient allocation of resources/capital at the government and corporate levels will carry a higher premium than in the past. Capital utilization will become an increasingly important factor in determining asset allocation. At the corporate level, strong balance sheets and recurring profits will command a premium.

Third, the age of competing capital demands will impose more scrutiny and discipline on sovereigns; fiscal policy becomes more consequential. Profligate governments could be penalized by investors demanding higher compensation/premiums.

Finally, with the age of abundance over and a new era of capital competition dawning, countries with the strongest institutions, the deepest capital markets, the most innovative ecosystem and most productive companies are likely to outperform their peers. All the above sounds a lot like the U.S. Indeed, in a world where capital matters even more, we expect U.S.-denominated assets to remain attractive on an absolute and relative basis over the long run.

In the end, for over two decades, investors benefited from a world awash in savings, inexpensive goods, low inflation and falling interest rates. Capital was abundant, borrowing was easy, and financial assets enjoyed a powerful tailwind. The job of central bankers was made easier. However, times are changing. The forces of the past are fading. The competition for capital is soaring, while supply holds steady. The defining question as the Warsh era begins is who gets the capital—and at what cost? The answer will shape not only the future path of interest rates and inflation, but also the fortunes of nations, companies and investors.

MARKET VIEW

The Road to 2027: Five Questions (and Answers) for the Second Half

Ariana Chiu, ***Assistant Vice President and Investment Strategist***

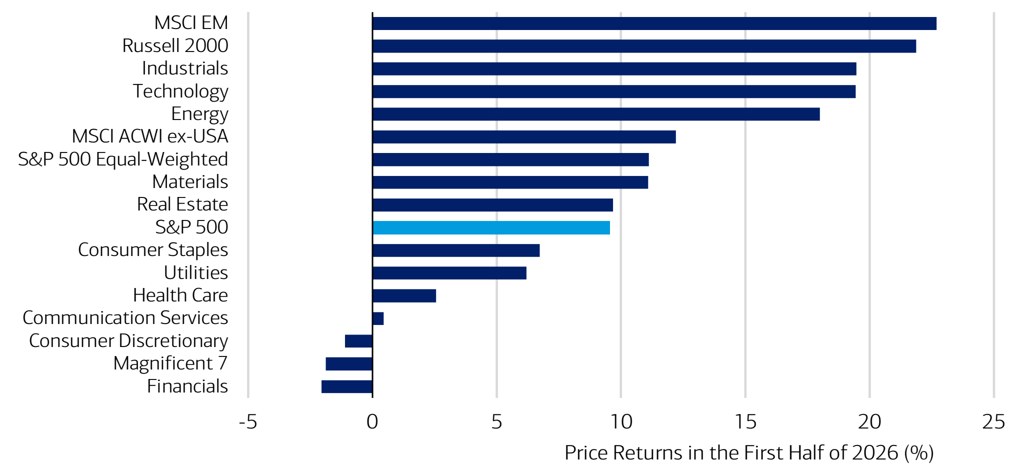
A war in the Middle East, an energy shock via the closure of the Strait of Hormuz, renewed tariff threats, concerns around Private Credit—the first half of 2026 packed a decade's worth of events into six months. The second half is set to be just as eventful with midterm elections, a new Fed chairman, and an AI revolution that evolves by the day. Below we examine five key questions that will dominate the investment landscape for the balance of the year.

***Is the rotation here to stay?* Yes, in our view.** The S&P 500 gained 9.6% in the first half of the year—impressive but lagging its equal-weighted counterpart (11.1%), the Russell 2000 Index (21.9%), and the MSCI All-Country World Index (ACWI) ex-U.S. (12.2%). Yes, select Technology companies continue to dominate index-level moves (up or down) given their large size. And yet the Magnificent 7[1] ended the first six months in the red, underperforming everything from Real Estate to Consumer Staples to Healthcare (Exhibit 2). Indeed, there's been plenty of churn beneath the surface: While the S&P 500 survived the first half with a maximum drawdown of 9.1% on the index level, the average member saw a maximum drawdown of 23.0%.

Investment implications

We remain overweight Equities heading into the second half with a preference for the U.S. and Emerging Markets (EM) as well as an emphasis on diversification in portfolios across size, styles, and sectors. A correction in the coming months wouldn't be concerning in our view as both macro and market fundamentals are strong.

Exhibit 2: Rotation Was Alive and Well in the First Half of 2026.



Source: Bloomberg. Data as of June 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

We expect rotation to continue as capital shifts to industries and companies benefiting from AI spending and productivity gains. Volatility within Technology could come from a variety of factors, whether it's earnings disappointing versus high expectations, fresh competition from China's cheaper AI models, or efficiency gains requiring less compute than originally estimated, all against a backdrop of crowded positioning. Hence our call for heightened diversification in portfolios. Meanwhile, the rebound in manufacturing should lend to ongoing support for pro-cyclical areas like Industrials, Materials and Energy. We also expect capital to continue rotating overseas in the aftermath of the war, supporting our overweight to EMs and neutral allocation to Developed Markets ex-U.S.

***Are we at peak capex?* Unlikely. We expect there's still room to run.** With the hyperscalers allocating more than $700 billion in capex this year per company projections, the question for investors continues to be whether spending estimates are headed lower from here. We don't believe that's the case as long as demand for power outstrips supply. For now, the equation still tilts in favor of further spending (and explains the historic 86% run in semiconductors in the first six months of the year). The good news, and a lesson from Q1 earnings, has been that signs of positive returns on AI investment are building.

[1] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla.

What remains important to watch is how the AI data center buildout is being financed. With spending commitments outpacing earnings and free cash flows, hyperscalers have turned to issuing debt, which, according to the Bank of International Settlements could reach $175 billion this year versus $105 billion in 2025. A sudden tightening in credit conditions is a tail risk to watch for the more leveraged parts of the AI buildout.

***Have we seen the worst of inflation?* We think yes, though the path of inflation expectations remains key to watch.** With the labor market proving more stable than expected in the first half, both investors and Warsh's Fed are now focused on inflation. Upward pressure on energy prices given the war, AI goods shortages, lingering tariff impacts, and stronger-than-expected economic data have led markets to price in one rate hike by the end of the year.

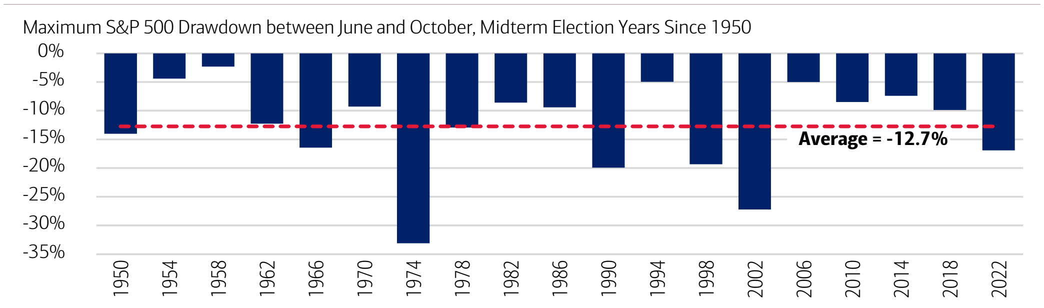
With that said, we think inflation has likely peaked as energy prices have quickly receded to pre-war levels in the past few weeks. Long-term inflation expectations have declined in tandem and are anchored near the Fed's 2% target. Shelter inflation, though still acting with a lag, has been a disinflationary force. Wage growth is healthy but nowhere near where it was back in 2021 to 2022, reducing the odds of a so-called "wage-price spiral" (i.e., when rising wages push companies to raise prices, leading workers to then demand higher wages, and so on). Re-escalating tensions in the Middle East, another prolonged spike in energy prices or signs of the labor market overheating would all be reasons to reassess our outlook but aren't our base case.

***What do shifting global central bank expectations mean for investors?* It depends.** Global monetary policy divergence was predicted to define 2026 with the Fed in cutting mode and the rest of the world excluding Japan on hold. Owing to the war, the calculus has changed, with major central banks in both Emerging Markets (Indonesia, Philippines, South Africa, Colombia, and others) and Developed Markets (Eurozone, Japan, Australia, Norway) implementing rate hikes in recent months.

For investors, global interest rate differentials could favor a weaker dollar should the Fed hold tight while central banks abroad hike rates. Alternatively, a Fed that proves much more hawkish than expected relative to the rest of the world would imply a stronger greenback. In either case, we still expect there to be structural underlying support for the dollar thanks to resilient U.S. growth. At 57% of foreign exchange reserves in Q1 2026 per the IMF, the dollar is still the world's reserve currency. Fade concerns of dollar debasement.

***How will midterm elections impact markets?* A correction preelection wouldn't be out of the ordinary.** In the near term, the lead-up to midterm elections can be more volatile before the typical relief in policy uncertainty post-election. Looking back at midterm election years since 1950, the S&P 500 has seen an average drawdown of 12.7% between the start of June and the end of October (Exhibit 3). A correction in the coming months wouldn't surprise us as the market catches its breadth and searches for new catalysts after a strong rally.

Exhibit 3: Corrections in the Months Leading up to Midterm Elections Are Normal.



Source: Bloomberg. Data as of June 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Looking beyond November 3, while it's tempting to try to time investment decisions around potential election outcomes, history tells us that obsessing over outcomes in Washington doesn't make for a good market timing tool or investment strategy. What drives markets over time isn't the party in power but rather the trajectory of growth, earnings, interest rates, liquidity and other fundamental factors. Let the 24 fresh all-time highs for the S&P 500 in the first half of this year be a friendly reminder that even in the midst of uncertainty, equity markets tend to look forward to what matters—future profits, which continue to be revised higher.

RETURN TO FIRST PAGE

Top questions answered directly by our CIO. 60 seconds of your questions and our answers.

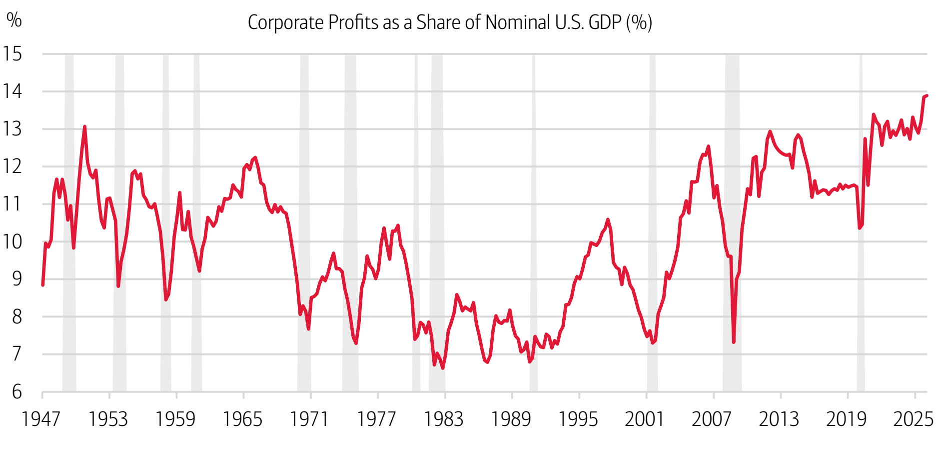
Christopher Hyzy, *Chief Investment Officer*

What is the largest concern that could unravel your bullish narrative? Our largest concern is not the Fed or its change in policy, it's not whether the U.S. dollar is going to lose its reserve currency status, it is not inflation sticking too long, it's not that we will not address government debt eventually, it is not the midterm elections or the military conflict in the Middel East. Bull markets generally do not end based on price and/or valuation. Overvaluation takes care of itself through frequent pullbacks or corrections when new concerns develop but do not materialize to an extent that causes a recession. Therefore, we do not worry about the numerator from a medium-to-long term perspective. We are concerned about the most important part of the investment equation, which is the denominator—corporate profits. Corporate profits could slow down and then go negative if interest rates rise sharply, creating a much higher cost of capital for corporate America and consumers. At the same time, if there were excessive debt (leverage) in the household or corporate sector, this would have a spiraling effect and create a deep recession. This is how a majority of bull markets end and reset materially.

Pockets of enthusiasm and price momentum that go too far in the short term without a deterioration in the profit outlook is not how bull markets end.

And since we do not expect a sharp rise in interest rates, and balance sheets have been healthy at the consumer and corporate level, we are buyers on weakness in the equity markets if headline concerns cause downside pressure. Finally, a modest increase in rates by the Fed—if it happens—is a sign that growth is running above trend and is actually a sign of strength, in our view, not a cause for concern.

Exhibit 4: Earnings, Not Multiple Expansion Has Underpinned the S&P 500 Rally this Year.



Gray bars indicate recessions. Sources: Bureau of Economic Analysis; Haver Analytics. Data as of June 25, 2026.

Portfolio Considerations

Despite expected volatility with sharp corrections and rebounds, we remain constructive on Equities—overweighting U.S. and EMs, balancing Value and Growth, and favoring Industrials, Financials, and Consumer Discretionary sectors—supported by rising capital investment, growing profits, above-trend global growth, and strong demand for financial assets.

RETURN TO FIRST PAGE

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	52,900.07	2.0	1.1	11.0
NASDAQ	25,832.67	2.1	-1.5	11.5
S&P 500	7,483.24	1.8	-0.2	10.0
S&P 400 Mid Cap	3,802.81	-0.3	-1.3	15.8
Russell 2000	2,996.11	-0.4	-0.9	21.4
MSCI World	4,832.10	1.9	0.1	9.8
MSCI EAFE	3,144.43	2.0	0.9	10.4
MSCI Emerging Markets	1,684.18	-1.2	-2.2	21.2

Fixed Income†

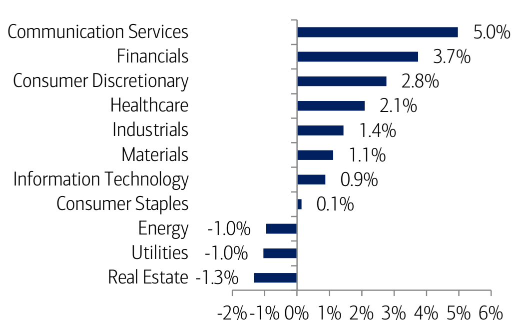
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	4.67	-0.50	-0.16	0.34
Agencies	4.44	-0.22	-0.03	0.58
Municipals	3.60	0.08	-0.09	2.23
U.S. Investment-Grade Credit	4.75	-0.50	-0.14	0.48
International	5.22	-0.49	-0.16	0.69
High Yield	7.13	0.29	0.09	2.05
90 Day Yield	3.75	3.74	3.81	3.63
2 Year Yield	4.14	4.09	4.17	3.47
10 Year Yield	4.48	4.37	4.47	4.17
30 Year Yield	4.99	4.86	4.95	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	315.71	0.1	-0.1	14.3
WTI Crude $/Barrel††	68.69	-0.8	-1.2	19.6
Gold Spot $/Ounce††	4122.35	0.8	2.9	-4.6

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.14	1.14	1.17
USD/JPY	161.11	161.74	162.55	156.71
USD/CNH	6.79	6.80	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/29/2026 to 07/02/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/2/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/2/2026)

Economic Forecasts	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	2.5	2.5	2.4	2.2	2.2
CPI inflation (% y/y*)	2.7	4.0	3.7	3.6	3.2	2.1
Core CPI inflation (% y/y*)	2.5	2.8	2.7	2.9	2.7	2.4
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E = Estimate. Data as of July 2, 2026.
* = Data as of June 12, 2026.
Sources: BofA Global Research; GWIM ISC as of July 2, 2026.

Asset Class Weightings (as of 6/2/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index is a variation of the traditional S&P 500 that tracks the same 500 companies, but assigns each stock the exact same weight.

Russell 2000 Index is a benchmark stock market index that tracks the performance of approximately 2,000 small-cap U.S. companies.

MSCI All-Country World ex-U.S. Index captures large and mid cap representation across Developed Markets (DM) countries (excluding the US) and Emerging Markets (EM) countries.

MSCI Emerging Markets Index is an index that tracks the performance of the S&P 500 while assuming all cash dividends are automatically reinvested. While the standard S&P 500 only measures the raw price appreciation of its stocks, the TR version reflects the true compounding growth an investor actually experiences.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Index, including Information Technology USD; Consumer Discretionary; Industrials; Real Estate; Communication Services; Materials; Financials; Consumer Staples; Utilities; Energy; Healthcare.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

Any materials indicated as prepared by Bank of America Institute are solely those of Bank of America Institute, and are not the product of the BofA Global Research department, Merrill or any other department of Bank of America Corporation or its affiliates and/or subsidiaries (collectively Bank of America).

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

The credit quality ratings represent those of Moody's Investors Service, Inc. (Moody's), Standard & Poor's Corporation (S&P) and Fitch, Inc. (Fitch). The ratings represent their opinions as to the quality of the securities they rate. Ratings are relative and subjective and are not absolute standards of quality. The security's credit quality does not eliminate risk. For information regarding the methodology used to calculate the ratings, please visit Moody's at www.moodys.com or S&P at www.standardandpoors.com or Fitch at www.fitchratings.com.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

RETURN TO FIRST PAGE